Registration number: 01767386

Howden Joinery Corporate Services Limited

Annual Report and Financial Statements

for the Period from 27 December 2020 to 25 December 2021

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Howden Joinery Corporate Services Limited

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Howden Joinery Corporate Services Limited

Company Information

Registered office	40 Portman Square London W1H 6LT
Auditor	Deloitte LLP 1 New Street Square London United Kingdom EC4A 3HQ

Howden Joinery Corporate Services Limited

Strategic Report for the Period from 27 December 2020 to 25 December 2021

The directors present their strategic report for the period from 27 December 2020 to 25 December 2021.

The Company's principal activity is described in the Directors' Report, which is located immediately below this Strategic Report. The Company's financial Key Performance Indicators are as shown in the Profit and Loss Account and Balance Sheet. We do not consider there to be any non-financial Key Performance Indicators relevant to the Company, other than those listed in the Group annual report, as detailed in the paragraph immediately below.

The Group manages its operations on a Group basis and therefore prepares a consolidated group annual report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

- Fair review of the business (pgs 2 - 37)
- Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings (pgs 38 - 45)
- Financial and non-financial KPIs (pgs 29 - 31)
- Future developments (pgs 19, 27 - 28, 36)
- Information about environmental matters, social, community and human rights issues (pgs 46-66)
- Description of culture, purpose, market, business model and strategy (pgs 8-15)
- Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons (pgs 99 - 100, 145)

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

Howden Joinery Corporate Services Limited

Strategic Report for the Period from 27 December 2020 to 25 December 2021

Section 172 statement

Section 172 of the Companies Act 2006 requires a director of a company to act in the way he or she considers, in good faith, would most likely promote the success of the company for the benefit of its members as a whole. In doing this section 172 requires a director to have regard, amongst other matters, to the:

- likely consequences of any decisions in the long-term;
- interests of the company's employees;
- need to foster the company's business relationships with suppliers, customers and others;
- impact of the company's operations on the community and environment;
- desirability of the company maintaining a reputation for high standards of business conduct, and
- need to act fairly as between members of the company.

In discharging their section 172 duties the directors of the Company have regard to the factors set out above. They also have regard to other factors which they consider relevant to the decision being made. The directors acknowledge that every decision they make will not necessarily result in a positive outcome for all of the Company's stakeholders. By considering the Company's purpose, vision and values together with its strategic priorities and having a process in place for decision-making, the directors do, however, aim to make sure that their decisions are consistent and predictable.

As is normal for large companies, the directors delegate authority for day-to-day management of the Company to executives engaged in setting, approving and overseeing execution of the business strategy and related policies of the Group. How the Group's key stakeholders have been identified and interests taken into consideration, in accordance with the directors' section 172 duties of the Companies Act 2006 and the 2018 UK Corporate Governance Code, is noted in detail in Howden Joinery Group Plc's Annual Report and Accounts for the year ended 25 December 2021 (www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports). As the Company forms part of the Group, the framework adopted by the ultimate parent has been disseminated and applied by the subsidiary Company.

Approved by the Board on 3 May 2022 and signed on its behalf by:

F. McNaughton

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Forbes McNaughton
Company secretary

Howden Joinery Corporate Services Limited

Directors' Report for the Period from 27 December 2020 to 25 December 2021

The directors present their annual report and the audited financial statements for the period from 27 December 2020 to 25 December 2021.

Directors
The directors who held office during the period, were as follows:
Theresa Keating
Paul Hayes (appointed 27 December 2020)
Kirsty Homer (appointed 27 December 2020)

Dividends
No dividend was proposed or paid during the current or prior period.
Financial instruments

Objectives and policies, price risk, credit risk, liquidity risk and cash flow risk

These are managed on a Group basis. Further information can be found on pages 36-37 of the Howden Joinery Group Plc 2021 Annual Report and accounts, which is available at
https://www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports

Political donations
The Company did not make any political donations in the current or prior period.

Charitable donations
During the period the company made charitable donations of £355,186. The individual donations are shown below:

	£
QEST	150,000
I Can I Am	100,000
British Asian Trust	36,000
The Children's Hospital Charity	20,000
Winchester Hospice	13,995
Itchen Kitchen	12,421
Other Charitable donations under £10k	22,770

Howden Joinery Corporate Services Limited

Directors' Report for the Period from 27 December 2020 to 25 December 2021

Going concern
After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future.

This judgement is based on a written commitment of financial support from its ultimate parent company, Howden Joinery Group Plc. In assessing the quality of the commitment of support from its ultimate parent company, the directors noted the parent company's assessment of the Howden Joinery Group's going concern in its 2021 Consolidated Annual Report, dated 24 February 2022, which includes a description of how the parent company has considered and modelled possible effects of COVID 19 and Brexit on consolidated Group trading, and has concluded that it was appropriate for the consolidated Group results to be prepared on a going concern basis.

The directors continue to adopt the going concern basis in preparing the financial statements.

Disclosure of information to the auditors
Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

Principal activity
The principal activity of the company is providing and managing employees, professional fees and IT services for other Group companies. There has been no change in the Company's principal activities during the period.

Engagement with suppliers, customers and other relationships
The Company has limited direct dealings with external business partners as these activities are undertaken at Group level. Details of the Howden Joinery Group's business relationships at Group level are set out in the Annual Report and Accounts for Howden Joinery Group Plc for the year ended 25 December 2021 (www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports).

Approved by the Board on 3 May 2022 and signed on its behalf by:

F. McNaughton
.....
Forbes McNaughton
Company secretary

Howden Joinery Corporate Services Limited

Statement of Directors' Responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including FRS 101 'Reduced Disclosure Framework'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Howden Joinery Corporate Services Limited

Independent auditor's report to the members of Howden Joinery Corporate Services Limited

Report on the audit of the financial statements

Opinion

In our opinion the financial statements of Howden Joinery Corporate Services Ltd (the 'company'):

- give a true and fair view of the state of the company's affairs as at 25 December 2021 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, including Financial Reporting Standard 101 "Reduced Disclosure Framework"; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements which comprise:

- the profit and loss account;
- the statement of comprehensive income;
- the balance sheet;
- the statement of changes in equity; and
- the related notes 1 to 24.

The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 101 "Reduced Disclosure Framework (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the Financial Reporting Council's (the 'FRC's') Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Independent auditor's report to the members of Howden Joinery Corporate Services Limited

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the FRC's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Extent to which the audit was considered capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below.

We considered the nature of the company's industry and its control environment, and reviewed the company's documentation of their policies and procedures relating to fraud and compliance with laws and regulations. We also enquired of management, internal audit about their own identification and assessment of the risks of irregularities.

We obtained an understanding of the legal and regulatory framework that the company operates in, and identified the key laws and regulations that:

- had a direct effect on the determination of material amounts and disclosures in the financial statements. These included UK Companies Act, pensions and tax legislation; and
- do not have a direct effect on the financial statements but compliance with which may be fundamental to the company's ability to operate or to avoid a material penalty.

We discussed among the audit engagement team including relevant internal specialists such as tax, pensions and IT specialists regarding the opportunities and incentives that may exist within the organisation for fraud and how and where fraud might occur in the financial statements.

In common with all audits under ISAs (UK), we are also required to perform specific procedures to respond to the risk of management override. In addressing the risk of fraud through management override of controls, we tested the appropriateness of journal entries and other adjustments; assessed whether the judgements made in making accounting estimates are indicative of a potential bias; and evaluated the business rationale of any significant transactions that are unusual or outside the normal course of business.

In addition to the above, our procedures to respond to the risks identified included the following:

- reviewing financial statement disclosures by testing to supporting documentation to assess compliance with provisions of relevant laws and regulations described as having a direct effect on the financial statements;
- performing analytical procedures to identify any unusual or unexpected relationships that may indicate risks of material misstatement due to fraud;
- enquiring of management, internal audit and in-house legal counsel concerning actual and potential litigation and claims, and instances of non-compliance with laws and regulations; and
- reading minutes of meetings of those charged with governance, reviewing internal audit reports and reviewing correspondence with HMRC.

Independent auditor's report to the members of Howden Joinery Corporate Services Limited

Report on other legal and regulatory requirements

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified any material misstatements in the strategic report or the directors' report.

Matters on which we are required to report by exception

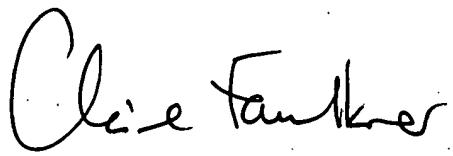
Under the Companies Act 2006 we are required to report in respect of the following matters if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in respect of these matters.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.



Claire Faulkner (Senior statutory auditor)
For and on behalf of Deloitte LLP
Statutory Auditor
London, United Kingdom

6 May 2022

Howden Joinery Corporate Services Limited

Profit and Loss Account for the Period from 27 December 2020 to 25 December 2021

	Note	52 weeks to 25 December 2021 £ 000	52 weeks to 26 December 2020 £ 000
Turnover	4	52,006	39,562
Administrative expenses		(60,946)	(60,648)
Operating loss	5	(8,940)	(21,086)
Interest payable and similar expenses	6	(457)	(708)
Loss before tax		(9,397)	(21,794)
Tax on loss	10	2,104	4,552
Loss for the period		(7,293)	(17,242)

The above results were derived from continuing operations.

The notes on pages 15 to 40 form an integral part of these financial statements.

Statement of Comprehensive Income for the Period from 27 December 2020 to 25 December 2021

	Note	27 December 2020 to 25 December 2021 £ 000	29 December 2019 to 26 December 2020 £ 000
Loss for the period		(7,293)	(17,242)
Items that will not be reclassified subsequently to profit or loss			
Actuarial gain/(loss) on pension scheme, and associated deferred tax	23, 10	134,484	(9,207)
Total comprehensive income for the period		127,191	(26,449)

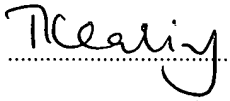
The notes on pages 15 to 40 form an integral part of these financial statements.

Howden Joinery Corporate Services Limited

(Registration number: 01767386)
Balance Sheet as at 25 December 2021

	Note	25 December 2021 £ 000	26 December 2020 £ 000
Fixed assets			
Intangible assets	11	3,663	3,343
Property, plant and equipment	12	6,453	6,589
Right of use assets	19	2,692	4,126
Defined benefit pension asset	23	140,801	-
Investment in shares of ultimate parent company	13	75,054	74,393
Deferred tax assets	10	3,397	10,709
		232,060	99,160
Current assets			
Trade and other receivables	14	1,198,520	930,874
Cash at bank and in hand	15	207	129
		1,198,727	931,003
Creditors: Amounts falling due within one year			
Trade and other payables	17	(1,482,587)	(1,202,673)
Current portion of long term lease liabilities	19	(981)	(1,759)
Income tax liability	10	(35,202)	-
Creditors: Amounts falling due within one year		(1,518,770)	(1,204,432)
Net current liabilities		(320,043)	(273,429)
Total assets less current liabilities		(87,983)	(174,269)
Creditors: Amounts falling due after more than one year			
Long term lease liabilities	19	(2,169)	(3,065)
Provisions for liabilities	22	(750)	-
Defined benefit pension liability	23	-	(47,671)
Net liabilities		(90,902)	(225,005)
Capital and reserves			
Called up share capital	18	12,358	12,358
Capital contribution reserve		280,315	280,315
Share-based payments reserve		37,125	30,757
Retained earnings		(420,700)	(548,435)
Shareholders' deficit		(90,902)	(225,005)

Approved by the Board on 3 May 2022 and signed on its behalf by:


.....Theresa Keating, Director

The notes on pages 15 to 40 form an integral part of these financial statements.

Howden Joinery Corporate Services Limited

Statement of Changes in Equity for the Period from 27 December 2020 to 25 December 2021

	Called up share capital £ 000	Capital contribution reserve £ 000	Share-based payments reserve £ 000	Retained earnings £ 000	Total £ 000
Brought forward	12,358	280,315	30,757	(548,435)	(225,005)
Loss for the period	-	-	-	(7,293)	(7,293)
Other comprehensive income	-	-	-	134,484	134,484
Total comprehensive income	-	-	-	127,191	127,191
Deferred tax on share schemes	-	-	-	544	544
Share based payment transactions	-	-	6,368	-	6,368
At 25 December 2021	12,358	280,315	37,125	(420,700)	(90,902)

	Share capital £ 000	Capital contribution reserve £ 000	Share-based payments reserve £ 000	Retained earnings £ 000	Total £ 000
At 29 December 2019	12,358	280,315	30,773	(521,927)	(198,481)
Loss for the period	-	-	-	(17,242)	(17,242)
Other comprehensive income	-	-	-	(9,207)	(9,207)
Total comprehensive income	-	-	-	(26,449)	(26,449)
Current tax on share schemes	-	-	-	39	39
Deferred tax on share schemes	-	-	-	(98)	(98)
Share based payment transactions	-	-	(16)	-	(16)
At 26 December 2020	12,358	280,315	30,757	(548,435)	(225,005)

"Share based payment transactions" is the net of the share based payment charge for the year and any cash received from employees on exercising share options.

The notes on pages 15 to 40 form an integral part of these financial statements.

1 General information

The company is a private company limited by share capital, incorporated and domiciled in England.
The address of its registered office is:
40 Portman Square
London
W1H 6LT
England
These financial statements were authorised for issue by the Board on 3 May 2022.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

Basis of preparation
These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework. They are prepared on the historical cost basis.

Summary of disclosure exemptions
In these financial statements, the company has taken advantage of the disclosure exemptions available under FRS 101 in relation to share-based payment, business combinations, non-current assets held for sale, financial instruments, fair value measurements, capital management, revenue from contracts with customers, presentation of comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment property, presentation of a cash-flow statement, the effects of new standards not yet effective, impairment of assets and disclosures in respect of the compensation of key management personnel and of transactions with a management entity that provides key management personnel services to the company.

Going concern
The financial statements have been prepared on a going concern basis. No material uncertainties were identified. Further information about the process and basis of the going concern assessment can be found in the "Going concern" section of the Directors' Report, which details how the assessment of going concern relates to continued support from the ultimate parent company and how the Directors have assessed the quality of the commitment of that support.

Changes in accounting policy
None of the standards, interpretations and amendments effective for the first time from 27 December 2020 have had a material effect on the financial statements.

Revenue recognition

Recognition

The company earns revenue from the provision of services relating to providing employees, professional services and IT services for other Group companies. This revenue is recognised in the accounting period when the services are rendered at an amount that reflects the consideration to which the entity expects to be entitled in exchange for fulfilling its performance obligations to customers.

2 Accounting policies (continued)

The principles in IFRS are applied to revenue recognition criteria using the following 5 step model:

1. Identify the contracts with the customer
2. Identify the performance obligations in the contract
3. Determine the transaction price
4. Allocate the transaction price to the performance obligations in the contract
5. Recognise revenue when or as the entity satisfies its performance obligations

Foreign currency transactions and balances

Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective functional currency of the entity at the rates prevailing on the reporting period date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the initial transaction dates.

Non-monetary items measured in terms of historical cost in a foreign currency are not retranslated.

Tax

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.
The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates taxable income.
Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements and on unused tax losses or tax credits in the company. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

The carrying amount of deferred tax assets are reviewed at each reporting date and a valuation allowance is set up against deferred tax assets so that the net carrying amount equals the highest amount that is more likely than not to be recovered based on current or future taxable profit.

Tangible assets

Property, plant and equipment is stated in the statement of financial position at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

The cost of property, plant and equipment includes directly attributable incremental costs incurred in their acquisition and installation.

Depreciation

Depreciation is charged so as to write off the cost of assets, other than assets under construction - which are not depreciated - over their estimated useful lives, as follows:

Asset class	Depreciation method and rate
Plant, machinery and vehicles	4 - 20 years
Leasehold property	the period of the lease, or the individual asset's life if shorter
Fixtures and fittings	10 years

2 Accounting policies (continued)

Intangible assets
Goodwill arising on the acquisition of an entity represents the excess of the cost of acquisition over the company's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity recognised at the date of acquisition. Goodwill is initially recognised as an asset at cost and is subsequently measured at cost less any accumulated impairment losses. Goodwill is held in the currency of the acquired entity and revalued to the closing rate at each reporting period date.

Goodwill is not subject to amortisation but is tested for impairment.

Negative goodwill arising on an acquisition is recognised directly in the income statement. On disposal of a subsidiary or a jointly controlled entity, the attributable amount of goodwill is included in the determination of the profit or loss recognised in the income statement on disposal.

Trade payables
Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method.

Amounts payable and receivable to and from fellow Group subsidiaries
Howden Joinery Group plc has ultimate control of 100% of both this Company and a number of other wholly-owned subsidiaries (together, called "the Howden Joinery Group"). Debtors and creditors between this Company, Howden Joinery Group plc and any other Howden Joinery Group company do not bear interest and are repayable on demand.

Provisions
Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, it is probable that the group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

Provisions are measured at the directors' best estimate of the expenditure required to settle the obligation at the reporting date and are discounted to present value where the effect is material.

Share based payments
The company operates an equity-settled, share-based compensation plan, under which the entity receives services from employees as consideration for equity instruments (options) of the entity. The fair value of the employee services received is measured by reference to the estimated fair value at the grant date of equity instruments granted and is recognised as an expense over the vesting period. The estimated fair value of the option granted is calculated using a binomial option pricing model. The total amount expensed is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied.

The proceeds received net of any directly attributable transaction costs are credited to share capital (nominal value) and share premium when the options are exercised.

Investments
Investments represent shares in the ultimate parent company, Howden Joinery Group Plc, which are held by employee share ownership trusts. The investments are initially recorded at cost, including purchase expenses.

2 Accounting policies (continued)

Share capital

Ordinary shares are classified as equity. Equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

Leases

Definition

A lease is a contract, or a part of a contract, that conveys the right to use an asset or a physically distinct part of an asset ("the underlying asset") for a period of time in exchange for consideration. Further, the contract must convey the right to the company to control the asset or a physically distinct portion thereof. A contract is deemed to convey the right to control the underlying asset if, throughout the period of use, the company has the right to:

- Obtain substantially all the economic benefits from the use of the underlying asset, and;
- Direct the use of the underlying asset (e.g. direct how and for what purpose the asset is used)

Initial recognition and measurement

The company initially recognises a lease liability for the obligation to make lease payments and a right-of-use asset for the right to use the underlying asset for the lease term.
The lease liability is measured at the present value of the lease payments to be made over the lease term. The lease payments include fixed payments, purchase options at exercise price (where payment is reasonably certain), expected amount of residual value guarantees, termination option penalties (where payment is considered reasonably certain) and variable lease payments that depend on an index or rate.
The right-of-use asset is initially measured at the amount of the lease liability, adjusted for lease prepayments, lease incentives received, the company's initial direct costs (e.g., commissions) and an estimate of restoration, removal and dismantling costs.

Subsequent measurement

After the commencement date, the company measures the lease liability by:
(a) Increasing the carrying amount to reflect interest on the lease liability;
(b) Reducing the carrying amount to reflect the lease payments made; and
(c) Re-measuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in substance fixed lease payments or on the occurrence of other specific events.
Interest on the lease liability in each period during the lease term is the amount that produces a constant periodic rate of interest on the remaining balance of the lease liability. Interest charges are [presented separately as non-operating /included in finance cost] in the income statement, unless the costs are included in the carrying amount of another asset applying other applicable standards. Variable lease payments not included in the measurement of the lease liability, are included in operating expenses in the period in which the event or condition that triggers them arises.
The related right-of-use asset is accounted for using the Cost model in IAS 16 and depreciated and charged in accordance with the depreciation requirements of IAS 16 Property, Plant and Equipment as disclosed in the accounting policy for Property, Plant and Equipment. Adjustments are made to the carrying value of the right of use asset where the lease liability is re-measured in accordance with the above. Right of use assets are tested for impairment in accordance with IAS 36 Impairment of assets as disclosed in the accounting policy in impairment.

2 Accounting policies (continued)

Lease modifications

If a lease is modified, the modified contract is evaluated to determine whether it is or contains a lease. If a lease continues to exist, the lease modification will result in either a separate lease or a change in the accounting for the existing lease.
The modification is accounted for as a separate lease if both:
(a) The modification increases the scope of the lease by adding the right to use one or more underlying assets; and
(b) The consideration for the lease increases by an amount commensurate with the stand-alone price for the increase in scope and any appropriate adjustments to that stand-alone price to reflect the circumstances of the particular contract.
If both of these conditions are met, the lease modification results in two separate leases, the unmodified original lease and a separate lease. The company then accounts for these in line with the accounting policy for new leases.
If either of the conditions are not met, the modified lease is not accounted for as a separate lease and the consideration is allocated to the contract and the lease liability is re-measured using the lease term of the modified lease and the discount rate as determined at the effective date of the modification.
For a modification that fully or partially decreases the scope of the lease (e.g., reduces the square footage of leased space), IFRS 16 requires a lessee to decrease the carrying amount of the right-of-use asset to reflect partial or full termination of the lease. Any difference between those adjustments is recognised in profit or loss at the effective date of the modification.
For all other lease modifications which are not accounted for as a separate lease, IFRS 16 requires the lessee to recognise the amount of the re-measurement of the lease liability as an adjustment to the corresponding right-of-use asset without affecting profit or loss.

Short term and low value leases

The company has made an accounting policy election, by class of underlying asset, not to recognise lease assets and lease liabilities for leases with a lease term of 12 months or less (i.e., short-term leases).
Lease payments on short term leases are accounted for on a straight line bases over the term of the lease or other systematic basis if considered more appropriate. Short term lease payments are included in operating expenses in the income statements.
The company recognises low value leases as leases.

Sub leases

If an underlying asset is re-leased by the company to a third party and the company retains the primary obligation under the original lease, the transaction is deemed to be a sublease. The company continues to account for the original lease (the head lease) as a lessee and accounts for the sublease as a lessor (intermediate lessor). When the head lease is a short term lease, the sublease is classified as an operating lease. Otherwise, the sublease is classified using the classification criteria applicable to Lessor Accounting in IFRS 16 by reference to the right-of-use asset in the head lease (and not the underlying asset of the head lease).
After classification lessor accounting is applied to the sublease.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and call deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

2 Accounting policies (continued)

Financial instruments

Initial recognition

Financial assets and financial liabilities comprise all assets and liabilities reflected in the balance sheet, although excluding Tangible assets, investment properties, intangible assets, deferred tax assets, prepayments, deferred tax liabilities and employee benefits plan.

The company recognises financial assets and financial liabilities in the statement of financial position when, and only when, the company becomes party to the contractual provisions of the financial instrument.

Financial assets and liabilities are initially recognised at fair value and subsequently measured at amortised cost.

Defined benefit pension obligation

Typically defined benefit plans define an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The asset or liability recognised in the statement of financial position in respect of defined benefit pension plans is the difference between the present value of the defined benefit obligation at the reporting date and the fair value of plan assets. The defined benefit obligation is measured using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future payments by reference to market yields at the reporting date on high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension liability.

Actuarial gains and losses are charged or credited to other comprehensive income in the period in which they arise. Past-service costs are recognised immediately in profit or loss.

3 Significant accounting judgements and major sources of estimation uncertainty

The Company makes some judgements when applying its accounting policies which can have a significant effect on the amounts recognised in these financial statements. The Company also makes assumptions concerning the future and other major sources of estimation uncertainty that can result in a material adjustment to the carrying amounts of assets and liabilities within the next financial period. We discuss these below.

Actuarial assumptions

The Company operates a defined benefit scheme for its employees. There is significant judgement involved in selecting appropriate measurement bases for the actuarial assumptions used to measure the pension deficit. There is also estimation uncertainty which means that reasonable alternative assumptions could have led to measurement at a materially different amount, or that a reasonably possible change in an assumption during the next period could lead to a material change in the valuation.

The key assumptions within this calculation are discount rate, inflation rates and mortality rates. These are set out in the pensions note, together with sensitivity analysis that shows the effect that these estimates can have on the carrying value of the pension deficit.

4 Turnover

The analysis of the Company's revenue for the period from continuing operations is as follows:

	27 December 2020 to 25 December 2021 £ 000	29 December 2019 to 26 December 2020 £ 000
Management services recharged to other Group companies	52,006	39,562

5 Operating loss

Arrived at after charging/(crediting)

	27 December 2020 to 25 December 2021 £ 000	29 December 2019 to 26 December 2020 £ 000
Depreciation expense - PPE	1,783	1,770
Amortisation expense	1,684	1,244
Loss on disposal of property, plant and equipment	-	3
Depreciation on right of use assets - Machinery & Vehicles	588	306
Depreciation on right of use assets - Property	946	959

6 Interest payable and similar expenses

	27 December 2020 to 25 December 2021 £ 000	29 December 2019 to 26 December 2020 £ 000
Interest on bank overdrafts and borrowings	-	33
Pensions finance charge	400	600
Interest expense on leases	57	75
	457	708

7 Staff costs

The aggregate payroll costs (including directors' remuneration) were as follows:

	52 weeks to 25 December 2021 £ 000	52 weeks to 26 December 2020 £ 000
Wages and salaries	10,698	10,464
Social security costs	3,646	1,317
Pension costs, defined contribution scheme	248	108
Pension costs, defined benefit scheme	6,801	23,797
Share-based payment expenses	6,367	(16)
	27,760	35,670

The defined benefit scheme charge in both periods relates to the cost of providing defined benefit pensions to the whole Howden Joinery Group, for the reasons explained at Note 23.

The average number of persons employed by the company (including directors) during the period, analysed by category was as follows:

	27 December 2020 to 25 December 2021 No.	29 December 2019 to 26 December 2020 No.
Administration and support	46	47

8 Directors' remuneration

The directors' remuneration for the period was as follows:

	27 December 2020 to 25 December 2021 £ 000	29 December 2019 to 26 December 2020 £ 000
Remuneration	1,323	3,602
Defined benefit pension	10	26
	1,333	3,628

8 Directors' remuneration (continued)

During the period the number of directors who were receiving benefits and share incentives was as follows:

	52 weeks to 25 December 2021 No.	52 weeks to 26 December 2020 No.
Received or were entitled to receive shares under long term incentive schemes	3	4
Exercised share options	-	2
Accruing benefits under defined benefit pension scheme	1	2
Accruing benefits under money purchase pension scheme	2	1

In respect of the highest paid director:

	52 weeks to 25 December 2021 £ 000	52 weeks to 26 December 2020 £ 000
Remuneration	474	1,501

During the period the highest paid director received or was entitled to receive shares under a long term incentive scheme.

9 Auditor's remuneration

	27 December 2020 to 25 December 2021 £ 000	29 December 2019 to 26 December 2020 £ 000
Audit of the financial statements	50	45

10 Income tax

Tax charged/(credited) in the profit and loss account

	52 weeks to 25 December 2021 £ 000	52 weeks to 26 December 2020 £ 000
Current taxation		
UK corporation tax	(2,908)	(8,216)
UK corporation tax adjustment to prior periods	(275)	(120)
	(3,183)	(8,336)
Deferred taxation		
Arising from origination and reversal of temporary differences	1,088	4,085
Arising from previously unrecognised tax loss, tax credit or temporary difference of prior periods	(9)	(301)
Total deferred taxation	1,079	3,784
Tax receipt in the profit and loss account	(2,104)	(4,552)

The tax on profit before tax for the period is higher than the standard rate of corporation tax in the UK (2020 - higher than the standard rate of corporation tax in the UK) of 19% (2020 - 19%).

The differences are reconciled below:

	52 weeks to 25 December 2021 £ 000	52 weeks to 26 December 2020 £ 000
Loss before tax	(9,397)	(21,794)
Corporation tax at standard rate	(1,785)	(4,141)
Increase (decrease) in tax from adjustment for prior periods	(284)	(420)
Increase (decrease) from effect of capital allowances depreciation	(68)	-
Increase (decrease) from effect of expenses not deductible in determining taxable profit (tax loss)	832	112
Increase (decrease) from effect of exercise employee share options	(324)	1
Deferred tax expense (credit) relating to changes in tax rates or laws	(475)	(105)
Total tax credit	(2,104)	(4,553)

10 Income tax (continued)

Deferred tax

Deferred tax movement during the period:

	At 27 December 2020 £ 000	Recognised in income £ 000	Recognised in other comprehensive income £ 000	Recognised in equity £ 000	At 25 December 2021 £ 000
Pension benefit obligations	9,063	(2,287)	(41,978)	-	(35,202)
Accelerated tax depreciation	1,497	394	-	-	1,891
Share-based payment	11	829	-	543	1,383
Leases	139	(15)	-	-	123
Net tax assets/(liabilities)	10,710	(1,079)	(41,978)	543	(31,805)

Deferred tax movement during the prior period:

	At 29 December 2019 £ 000	Recognised in income £ 000	Recognised in other comprehensive income £ 000	Recognised in equity £ 000	At 26 December 2020 £ 000
Pension benefit obligations	9,625	(4,055)	3,493	-	9,063
Accelerated tax depreciation	1,049	448	-	-	1,497
Share-based payment	247	(139)	-	(98)	11
Leases	-	(36)	-	175	139
Net tax assets/(liabilities)	10,921	(3,782)	3,493	78	10,710

The Finance Act 2021 increased the corporation tax rate to 25% with effect from 1 April 2023. The changes announced during the Budget were granted Royal Assent on 10 June 2021 and so the changes were substantively enacted as at the 2021 balance sheet date. Therefore, all deferred tax balances have been recalculated to recognise them at the appropriate tax rate at the point the deferred tax balances are expected to unwind. As such, a blended rate of between 19% and 25% has been used to calculate the deferred tax on the taxable timing differences with the adjustment recognised in the 2021 total tax charge.

11 Intangible assets

In April 2021, the IFRS Interpretations Committee ("IFRIC") published an agenda decision on accounting for configuration and customisation costs incurred in implementing cloud-based software-as-a-service contracts. This decision clarified that where the customer doesn't control the underlying software and where the configuration and customisation costs don't create a separate intangible asset then the configuration and customisation costs should be expensed.

Following the publication of this agenda decision the Group carried out a review of its intangible assets and concluded that there were assets with a net book value of £0.6m which it would not have capitalised if the IFRIC agenda decision had been effective when the related costs were incurred. These amounts were written off in the current period and are included as part of the intangible asset disposals shown above.

The Company has amended its accounting policy for intangible assets to address the IFRIC decision.

	Asset under construction £ 000	Other intangible assets £ 000	Total £ 000
Cost or valuation			
At 27 December 2020	325	12,789	13,114
Additions	854	1,963	2,817
Disposals	(85)	(3,908)	(3,993)
Transfers	(241)	241	-
At 25 December 2021	853	11,085	11,938
Amortisation			
At 27 December 2020	-	9,771	9,771
Amortisation charge	-	1,684	1,684
Amortisation eliminated on disposals	-	(3,180)	(3,180)
At 25 December 2021	-	8,275	8,275
Carrying amount			
At 25 December 2021	853	2,810	3,663
At 26 December 2020	325	3,018	3,343

12 Property, plant and equipment

	Leasehold property £ 000	Fixtures & fittings £ 000	Assets under construction £ 000	Other property, plant and equipment £ 000	Total £ 000
Cost or valuation					
At 27 December 2020	4,023	539	3,333	38,255	46,150
Additions	7	18	1,407	239	1,671
Disposals	(531)	(13)	-	(897)	(1,441)
Transfers	-	-	(3,333)	3,333	-
At 25 December 2021	3,499	544	1,407	40,930	46,380
Depreciation					
At 27 December 2020	3,395	512	-	35,654	39,561
Charge for the period	212	18	-	1,553	1,783
Eliminated on disposal	(531)	(12)	-	(874)	(1,417)
At 25 December 2021	3,076	518	-	36,333	39,927
Carrying amount					
At 25 December 2021	423	26	1,407	4,597	6,453
At 26 December 2020	628	27	3,333	2,601	6,589

13 Investments

	25 December 2021 £ 000	26 December 2020 £ 000
Investment in shares of ultimate parent company	75,054	74,393

	25 December 2021 £ 000	26 December 2020 £ 000
Cost		
At 27 December	74,393	73,568
Additions	1,013	1,172
Disposals	(352)	(347)
At 25 December	75,054	74,393
Carrying amount		
At 25 December	75,054	74,393

The investment is in the listed ordinary shares of the Company's ultimate parent, Howden Joinery Group Plc. The shares are held in employee share ownership trusts.

14 Trade and other debtors

	25 December 2021 £ 000	26 December 2020 £ 000
Trade debtors	7	-
Debts from fellow Group subsidiaries	1,186,970	920,350
Prepayments	9,735	8,436
Other debtors	1,808	2,088
	1,198,520	930,874

15 Cash at bank and in hand

	25 December 2021 £ 000	26 December 2020 £ 000
Cash at bank	207	129

16 Share-based payments

The ultimate parent company, Howden Joinery Group Plc ("the Group") operates various share-based payment schemes for employees in its subsidiary companies, all of which relate to shares in the Group. There are no share-based payment schemes relating to the shares in the Company. The various Group schemes are described below.

Share Incentive Plan ("SIP")

Scheme description

This is a UK tax-advantaged 'all-employee' share plan under which the Company may grant the following types of awards to eligible UK employees:

(i) Free Shares, the vesting and forfeiture period for which is three years commencing on the date of grant and subject to continued employment. The shares are not subject to any performance conditions. Dividends are payable on the Free Shares during the vesting period. Voting rights are attached to Free Shares during the vesting period.

(ii) Partnership Shares, which do not have a vesting period as they are purchased using deductions from the gross pay of participating employees. The shares are not subject to any performance conditions. Dividends are payable on the Partnership Shares from grant. Voting rights are attached to Partnership Shares from grant.

(iii) Matching Shares, the vesting and forfeiture period for which is three years commencing on the date of grant and subject to continued employment and retention of the associated Partnership Shares in the SIP trust. Matching Shares are granted to participants in a ratio determined by the Company up to a maximum of two free Matching Shares for each Partnership Share purchased. Matching Shares are not subject to any performance conditions. Dividends are payable on the Matching Shares during the vesting period. Voting rights are attached to Matching Shares during the vesting period.

(iv) Dividend Shares, which do not have a vesting period as they are purchased using dividend monies payable on existing SIP shares held in the SIP trust. The shares are not subject to any performance conditions. Dividends are payable on the Dividend Shares from grant. Voting rights are attached to Dividend Shares from grant.

Free Shares, Partnership Shares, and Matching Shares must be kept in the SIP trust for five years from the date of grant to be capable of being sold or transferred out of the SIP trust free of income tax and National Insurance contributions (exceptions apply for 'good leaver' scenarios). Dividend Shares must be held in the SIP trust for three years from the date of grant to be capable of being sold or transferred out of the SIP trust free of income tax liability.

16 Share-based payments (continued)

Howden Joinery Group Long Term Incentive Plan ("LTIP")

Scheme description

This is a discretionary plan under which the Group may grant different types of awards including options, conditional awards, and restricted share awards. With the exception of (iv) below, neither dividends nor dividend equivalents are payable during the vesting period. The different types of awards are as follows:

(i) Conditional Share Awards, the vesting period for which is three years commencing on the date of grant and subject to continued employment. The shares are not subject to any other performance conditions.

(ii) Market value options, the vesting period for which was three years commencing from the date of grant with an exercise period of seven years (i.e. a total life of ten years). The vesting conditions for these options were as follows:
Date of award (a) 2012 (b) 2013 (c) 2014
Vesting based on growth in profits - from year ended December (a) 2011 (b) 2012 (c) 2013
for the three-year period ending with the year ended December (a) 2014 (b) 2015 (c) 2016
Award vests at 15% if profits over the vesting period grow by (a) 6% (b) 6% (c) 8%
Award vests at 100% if profits over the vesting period grow by (a) 12% (b) 12% (c) 20%

(iii) Performance Share Plan, the vesting period for which was three years commencing from the date of grant. The vesting conditions for these options were as follows:
Date of award (a) 2018 (b) 2019
Vesting based on growth in profits - from year ended December (a) 2017 (b) 2018
for the three-year period ending with the year ended December (a) 2020 (b) 2021
Award vests at 15% if profits over the vesting period grow by (a) 5% (b) 5%
Award vests at 100% if profits over the vesting period grow by (a) 15% (b) 15%

The 2020 award has a performance period from December 2019 to December 2022. 67% of the award is based on TSR, vesting at 15% if the Company performs at median compared to a peer group and 100% if it performs in the upper quartile. 33% of the award is based on growth in profit before tax, and vests at 15% if growth over the performance period is 5%, and vests at 100% if growth is 15%.

The 2021 award has a performance period from December 2020 to December 2023. 33% of the award is based on TSR, vesting at 15% if the Company performs at median compared to a peer group and 100% if it performs in the upper quartile. 67% of the award is based on growth in profit before tax, and vests at 15% if growth over the performance period is 5%, and vests at 100% if growth is 15%.

(iv) Restricted share awards, where the participant receives beneficial entitlement to shares upon grant of the award. The legal interest, however, is not transferred to the participant until the forfeiture provisions and restrictions applicable to the awards cease to apply. The shares are not subject to any performance conditions other than continued employment. Dividends are payable during the vesting period.

Recruitment Plan

Scheme description

This is a discretionary plan under which the Group may grant employees conditional rights to acquire shares subject to conditions as determined by the Group. The awards granted under this plan may only be satisfied with existing shares.

17 Trade and other payables

	25 December 2021 £ 000	26 December 2020 £ 000
Trade payables	8,134	8,708
Accrued expenses	16,840	10,418
Amounts due to fellow Group companies	1,456,579	1,182,703
Social security and other taxes	985	842
Other payables	49	2
	1,482,587	1,202,673

18 Share capital

Allotted, called up and fully paid shares

	No. 000	25 December 2021 £ 000	No. 000	26 December 2020 £ 000
Ordinary shares of £1 each	12,358	12,358	12,358	12,358

19 Right of use assets

2021	Machinery £ 000	Property £ 000	Total £ 000
Additions	99	-	99
Depreciation charge for the period	588	946	1,534
Carrying amount at year end	162	2,530	2,692

2020	Machinery £ 000	Property £ 000	Total £ 000
Additions	678	51	729
Depreciation charge for the period	306	959	1,265
Carrying amount at year end	650	3,476	4,126

20 Leases

Leases included in creditors

	25 December 2021 £ 000	26 December 2020 £ 000
Current portion of long term lease liabilities	981	1,759
Long term lease liabilities	2,169	3,065

Lease liabilities maturity analysis

A maturity analysis of lease liabilities based on undiscounted gross cash flow is reported in the table below:

	25 December 2021 £ 000	26 December 2020 £ 000
Less than one year	1,020	1,815
One to five years	2,195	3,128
Total lease liabilities (undiscounted)	3,215	4,943

Total cash outflows related to leases

Total cash outflows related to leases are presented in the table below:

Payment	25 December 2021 £ 000	26 December 2020 £ 000
Repayment of capital	1,773	1,471
Interest	57	74
Short term leases	152	-
Total cash outflow	1,982	1,545

21 Commitments

Capital commitments

Purchases of tangible and intangible non-current assets:

The total amount contracted for but not provided in the financial statements was £155,214 (2020 - £96,241).

22 Other provisions

	Leases £ 000	Total £ 000
Additional provisions	750	750
At 25 December 2021	750	750

22 Other provisions (continued)

The property provision covers obligations to make dilapidation payments to landlords of leased properties. Following the guidance in the IFRSs governing leases and provisions, our assessment is that, in general, the likelihood of a cash outflow for dilapidations at the time of signing a lease is remote, and therefore it would be unusual for us to recognise any costs relating to dilapidations at that time.

In these cases, the event which changes our assessment of the likelihood of a cash outflow for dilapidations from being remote to being probable, and which therefore triggers our recognition of a provision for that probable outflow, typically occurs either (i) if the landlord serves an interim schedule of dilapidations part-way through a lease, or (ii) as we draw towards the end of a lease and we can assess the condition of the leased property and the likelihood of dilapidations being payable.

The timing of any outflows from the provision is variable, and is dependent on the timing of dilapidations assessments and works. Although circumstances will differ from property to property, a typical pattern would be that the outflow would occur within 1-3 years of the provision being made. The amounts provided are specific to each property and are based on our best estimate of the cost of performing any required works or, in cases where we will not be directly contracting for the works to be done, our best estimate of the outflow required to settle any claim from the landlord. Where the amounts involved are significant, we would typically take advice on the likely costs from third-party property maintenance specialists.

23 Pension and other schemes

Defined contribution pension scheme

The company operates a defined contribution pension scheme. The pension cost charge for the period represents contributions payable by the company to the scheme and amounted to £248,748 (2020 - £108,248).

23 Pension and other schemes (continued)

Defined benefit pension schemes
Howden Joinery Group Defined Benefit Plan

Plans that share risks between entities under common control
Characteristics and risks of the plan:
The Howden Joinery Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013.

The plan shares risks between wholly-owned Group subsidiaries which are each under the control of the ultimate parent company. These risks are shared between this Company and two other wholly-owned Group subsidiaries.
There is no contractual agreement or stated policy for charging the net defined benefit cost between the participating subsidiaries and this Company is the sponsoring employer, so the entire net defined benefit pension cost, and the entire pension deficit, appears in this Company's accounts.
The Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013. In November 2020, the Company entered into a consultation process with affected employees and collective bargaining groups regarding the potential closure of the defined benefit Howden Joinery Pension Plan to future accrual. The outcome of the consultation was that the Plan closed to future accrual from 31 March 2021.

The assets of the plan are held separately from those of the Group, being held in a trustee-administered pension plan and invested with independent fund managers. The trustee directors of the plan comprise three member-elected trustees, two independent trustees, and three Group-appointed trustees. All trustees are required to act in the best interests of the plan beneficiaries.

The plan exposes the Group to actuarial risks, such as longevity risk, interest rate risk, inflation risk and market (investment) risk.

The Goup's contributions in the current and prior periods are shown in the tables below. The Group has an agreement with the pension plan trustees to make additional deficit contributions to the plan, over and above the normal level of contributions, of £30m per year until June 2023. Under the agreement, the scheme's funding position is monitored on a monthly basis and deficit contributions are be suspended if the scheme's funding position is 100% or greater for two consecutive months on a Technical Provisions basis, and is resumed if the funding position subsequently falls back to below 100%.

The scheme's funding reached 100% on a Technical Provisions basis part way through 2021 and remained in surplus on that basis until the year end. Additional deficit contributions were suspended throughout this time.

The Group's estimated total cash contributions to the defined benefit plan in the 52 weeks ending 24 December 2022 are £3m. This is on the assumption that the scheme remains in surplus on the Technical Provisions basis and that there are no additional deficit contributions in the year.

Contributions payable to the pension scheme at the end of the period are £Nil (2020 - £Nil).

23 Pension and other schemes (continued)

Accounting and actuarial valuation
Contributions are charged to the consolidated income statement so as to spread the cost of pensions over the employees' working lives with the Group. The present value of the defined benefit obligation, the related current service cost, and past service cost are determined by a qualified actuary using the projected unit method. The most recent completed actuarial valuation was carried out at 5 April 2020 by the plan actuary. The actuary advising the Group has subsequently rolled forward the results of the 5 April 2020 valuation to 25 December 2021. This roll-forward exercise involves updating all the assumptions which are market-based (i.e. inflation, discount rate, rate of increase in pensions and rate of CARE revaluation) to values as at 25 December 2021. We are using CMI 2020 mortality tables, being the most recent tables available.

As is mandatory under International Financial Reporting Standards, the Group values its pension deficit in these accounts on an IAS19 basis. As shown below, the IAS19 surplus at the current period end is £140.8m. On a funding basis (also known as a "Technical Provisions basis", being the basis on which the triennial actuarial valuations are carried out), the funding surplus at the current period end is estimated at £65.6m, this estimate being based on an approximate roll-forward of the 2020 triennial funding valuation, updated for market conditions.

Reconciliation of scheme assets and liabilities to assets and liabilities recognised
The amounts recognised in the statement of financial position are as follows:

	25 December 2021 £ m	26 December 2020 £ m
Fair value of scheme assets	1,653	1,593
Present value of scheme liabilities	(1,513)	(1,641)
Defined benefit pension scheme surplus/(deficit)	140	(48)

23 Pension and other schemes (continued)

Scheme assets
Changes in the fair value of scheme assets are as follows:

	25 December 2021 £ m	26 December 2020 £ m
Fair value at start of period	1,593	1,429
Interest income	21	28
Return on plan assets, excluding amounts included in interest income/(expense)	58	132
Employer contributions	25	46
Benefits paid	(44)	(42)
Fair value at end of period	1,653	1,593

Analysis of assets
The major categories of scheme assets are as follows:

	25 December 2021 £m	26 December 2020 £m
Cash and cash equivalents	21	39
Equity instruments	173	144
Debt instruments	668	661
Investment funds	791	749
	1,653	1,593

Equity instruments
Equity instruments can be further categorised as follows:

	25 December 2021 £m	26 December 2020 £m
Quoted		
Passive equities	173	141
Unquoted		
Private equity	1	3
	174	144

23 Pension and other schemes (continued)

Debt instruments
Debt instruments can be further categorised as follows:

	25 December 2021 £m	26 December 2020 £m
Quoted		
Corporate bonds	232	238
Government bonds	436	423
	668	661

Investment funds
Investment funds can be further categorised as follows:

	25 December 2021 £m	26 December 2020 £m
Quoted		
Commercial property fund	114	103
Absolute return fund	91	85
Asset-backed securities	11	105
	216	293
Unquoted		
Commercial property fund	176	118
Fund of hedge funds	149	138
Insurance-linked securities	101	72
Other Secure Income	150	129
	576	457
	792	750

As set out in the plan's 2021 Annual Report and Accounts, signed in September 2021, the plan trustees' long-term asset allocation strategy is to target a 60% allocation of assets to "return-seeking assets" and a 40% allocation to "risk-reducing assets".

The plans accounts then goes on to explain these classes of assets as follows:

"Return-seeking" assets target a higher expected return than that of risk reducing/matching assets and typically have a higher associated volatility, relative to liabilities. These assets would typically involve equities and could possibly include alternative asset classes such as different types of absolute return and hedge funds, infrastructure, property and illiquid credit approaches. Assets used to predominantly manage liquidity and cashflows within the Secure Income portfolio are also deemed "Return-seeking".

"Risk-reducing" (or matching) assets have characteristics that are broadly similar in nature to the liabilities. These assets are predominantly bonds and could also possibly include other financial instruments such as interest rate and inflation swaps.

23 Pension and other schemes (continued)

Actual return on scheme's assets

	25 December 2021 £m	26 December 2020 £m
Actual return on scheme assets	79	161

The pension scheme has not invested in any of the company's own financial instruments or in properties or other assets used by the company.

Scheme liabilities
Changes in the present value of scheme liabilities are as follows:

	25 December 2021 £m	26 December 2020 £m
Present value at start of period	1,641	1,485
Current service cost	5	21
Administration Cost	2	3
Actuarial gains and losses arising from changes in financial assumptions	(133)	166
Actuarial gains and losses arising from experience adjustments	20	(20)
Interest cost	21	28
Benefits paid	(44)	(42)
Present value at end of period	1,512	1,641

Principal actuarial assumptions
The significant actuarial assumptions used to determine the present value of the defined benefit obligation at the statement of financial position date are as follows:

	25 December 2021 %	26 December 2020 %
Discount rate	2.00	1.30
Future salary increases	4.00	3.95
Future pension increases - from 2.25% to 3.35%	4.00	3.35
Inflation - RPI	3.00	2.95

Post retirement mortality assumptions

	25 December 2021 Years	26 December 2020 Years
Current UK pensioners at retirement age - male	22	22
Current UK pensioners at retirement age - female	23	23
Future UK pensioners at retirement age - male	23	23
Future UK pensioners at retirement age - female	25	26

23 Pension and other schemes (continued)

Amounts recognised in the income statement

	25 December 2021 £m	26 December 2020 £m
Amounts recognised in operating profit		
Current service cost	(5)	(21)
Administrative expenses paid	(2)	(3)
Recognised in arriving at operating profit	(7)	(24)
Amounts recognised in finance income or costs		
Net interest	-	(1)
Total recognised in the income statement	(7)	(25)

Amounts taken to the Statement of Comprehensive Income

	25 December 2021 £m	26 December 2020 £m
Actuarial gains and losses arising from changes in financial assumptions	112	(146)
Return on plan assets, excluding amounts included in interest income/(expense)	58	133
Amounts recognised in the Statement of Comprehensive Income	170	(13)

23 Pension and other schemes (continued)

Sensitivity analysis

A sensitivity analysis for the principal assumptions used to measure scheme liabilities is set out below:

	25 December 2021			26 December 2020		
Adjustment to discount rate	**+ 0.1% £ 000**	**0.0% £ 000**	**- 0.1% £ 000**	**+ 0.1% £ 000**	**0.0% £ 000**	**- 0.1% £ 000**
Present value of total obligation	(1,351)	(1,513)	(1,675)	(1,455)	(1,641)	(1,827)

	25 December 2021			26 December 2020		
Adjustment to rate of inflation	**+ 0.1% £ 000**	**0.0% £ 000**	**- 0.1% £ 000**	**+ 0.1% £ 000**	**0.0% £ 000**	**- 0.1% £ 000**
Present value of total obligation	(1,426)	(1,513)	(1,600)	(1,551)	(1,641)	(1,731)

	25 December 2021			26 December 2020		
Adjustment to mortality age rating assumption	**+ 1 Year £ 000**	**None £ 000**	**- 1 Year £ 000**	**+ 1 Year £ 000**	**None £ 000**	**- 1 Year £ 000**
Present value of total obligation	(1,460)	(1,513)	(1,566)	(1,584)	(1,641)	(1,698)

The weighted average duration of the defined benefit obligation at both the current and prior period ends was 21 years.

24 Parent and ultimate parent undertaking

The company's immediate parent is Howden Joinery Group Plc.

The ultimate parent, who produces consolidated financial statements which include this company is Howden Joinery Group Plc.

The most senior parent entity producing publicly available financial statements, and the only other entity who produces consolidated financial statements which include this company is Howden Joinery Group Plc. These financial statements are available on request from 40 Portman Square, London W1H 6LT, or http://howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp